

M/S RESOLUTION BAZAAR

CORPORATE RESTRUCTURING, FORENSIC INSOLVENCY DILIGENCE & STATUTORY ADVISORY PRACTICE

Advisory Counsel & Forensic Diligence Signatory: Adv. Atul Grover, Advocate & Insolvency Professional

REPORT REF: RBZ/RPA/2026/TCL-001
DATE OF AUDIT: 11 September 2026
AUDIT INTEGRITY: SHA256-RBZ-ECI-LIVE-2026-TCL-8842

STATUTORY ENGAGEMENT BASIS: Mandated by the Insolvency Professional / Committee of Creditors under **IBC Section 30(2)** read with **Regulations 37, 38, 38(1A), 38(1B), 38(2), 38(3), 38(3A), and 39(1) of IBBI (CIRP) Regulations, 2016** to execute independent statutory plan verification, feasibility audit, and pre-population of NCLT Form H Compliance Certificate.

RESOLUTION PLAN STATUTORY VERIFICATION & FORM H AUDIT DOSSIER

Independent Forensic Diligence on Binding Resolution Plan for **M/s TELEPHONE CABLES LIMITED** (CIN: L31300CH1983PLC005385) submitted jointly by **Sh. Sarabjit Singh & M/s G.S. Majestic Developers Pvt Ltd.**

SECTION 1: STATUTORY PREAMBLE & EXECUTIVE SUMMARY SCORECARD

CIRP ADMISSION: 19.02.2020 | NCLT CHANDIGARH BENCH

✓ STATUTORY PASS – CONDITIONED APPROVAL

Plan Conforms to Section 30(2) Subject to 1 Crucial Legal Amendment

The Resolution Plan satisfies mandatory stakeholder priority waterfalls, PBG commitments, and Section 29A eligibility clearance. However, **Clause 3.4.17** contains an unlawful stipulation stating that pending avoidance applications under §43/§45/§50/§66 "shall abate" at RA discretion. Under CIRP Regulation 38(1A) and settled NCLAT law (*Tata Steel BSL*), avoidance proceedings filed by the RP survive plan approval and cannot be abandoned. **Approval by the CoC must be conditioned on deleting the abatement clause; pursuit must remain under the RP/Monitoring Committee for the exclusive benefit of Financial Creditors.**

Corporate Debtor (CD)	Resolution Applicant (RA)	Resolution Professional / IPE	Key Commercial Metrics
Telephone Cables Limited CIN: L31300CH1983PLC005385 Status: BSE Listed Bench: NCLT Chandigarh Bench	Sh. Sarabjit Singh & M/s G.S. Majestic Developers Pvt Ltd Group: Jujhar Group / Fastway Transmissions Affidavit Date: 13.07.2026	Ductus Resolution Professionals Private Limited Reg: IBBI/IPE-1026/IPA-1/2022-23/50040	Total Admitted: ₹5922.69 Cr Proposed Outlay: ₹151.20 Cr Aggregate Recovery: 2.55% PBG (Reg 36B(4A)): ₹15.11 Cr (10%)

SECTION 2: STAKEHOLDER WATERFALL & REALIZATION MATRIX

OUTLAY: ₹1,51,20,14,476 (14-MONTH TERM)

Stakeholder Category	Claim Admitted (₹)	Proposed Payout (₹)	Recovery (%)	Disbursement Timeline & Legal Modalities	Statutory Status
CIRP Costs (Ratified)	₹50,00,000	₹50,00,000	100.00%	Within 30 days of NCLT Order, paid in absolute priority	✓ COMPLIANT §30(2)(A)
Secured Financial Creditors	₹59,20,87,70,586	₹1,50,00,00,000	2.53%	Rs. 100.00 Crores within 60 days of NCLT approval; Rs. 50.00 Crores within 14 months of NCLT approval	✓ COMPLIANT §30(2)(B)
Operational Creditors (Trade)	₹1,81,62,008	₹20,00,000	1.1%	₹20.00 Lakhs upfront within 60 days in priority to Financial Creditors	⚠ LIQUIDATION TEST
Operational Creditors (Govt Dues/PF)	₹14,476	₹14,476	100.00%	Paid in full upfront within 60 days in priority to Financial Creditors	✓ 100% CLEARED
Workmen & Employees	₹0	₹0	N/A	Nil admitted claims; existing workforce re-engaged on 6-month probation	NO CLAIMS FILED
Contingencies & Working Capital	—	₹50,00,000	N/A	Infused within 60 days for factory revival and operational stabilization	✓ CAPEX INFUSION

Stakeholder Category	Claim Admitted (₹)	Proposed Payout (₹)	Recovery (%)	Disbursement Timeline & Legal Modalities	Statutory Status
TOTAL RESOLUTION OUTLAY	₹59,22,68,87,070	₹1,51,20,14,476	2.55%	Comprehensive Final Settlement across 14-Month Implementation Term	

SECTION 3: THE TRIPARTITE PLAN DEFICIENCY & REQUISITION MATRIX

PRIMARY EVIDENTIARY ENGINE

Preliminary Flag & Statutory Trigger	PRA Submission & Undertaking	Forensic Ground-Truthing & Legal Precedents	Adjudicated Status
Avoidance Proceedings Abatement (§3.4.17) Plan states pending avoidance applications under §43/§45/§50/§66 "shall abate" at RA discretion.	RA argues recoveries are pass-through to FCs, but seeks discretion to avoid prolonged litigation costs.	VIOLATION OF REGULATION 38(1A): Delhi HC in <i>Venus Recruiters</i> and NCLAT in <i>Tata Steel BSL</i> held avoidance proceedings survive plan approval. RA cannot unilaterally extinguish claims belonging to creditors.	✗ ADDENDUM REQD
Operational Creditors Payout Benchmark Trade OCs receiving ₹20.00 Lakhs against ₹18.16 Cr admitted (1.10%).	RA incorporates savings clause guaranteeing payment of liquidation value if §53 entitlement exceeds proposed sum.	SECTION 30(2)(b) TEST: Legal savings clause cures statutory floor in principle. RP must place registered valuation on record confirming OCs' liquidation share is ≤ ₹20.00 Lakhs.	✓ CURED BY SAVINGS
Director Disqualification History Sarabjit Singh (DIN: 00378604) flagged on MCA 2014-2019 list for <i>Venus County Towers Pvt Ltd</i> .	Affidavit dated 13.07.2026 affirms eligibility under Section 29A(e).	2-YEAR COOLING-OFF LAPSED: The 5-year disqualification under §164(2)(a) expired in 2019 (>6 years elapsed). Cleared under Section 29A(e) cooling-off rule.	● ELIGIBLE (>2Y)
Corporate Debtor CIBIL Suits Telephone Cables Ltd has 3,683 suit-filed records on CIBIL (Kotak, IndusInd).	RA seeks protection under Section 32A Clean Slate doctrine.	CLEAN SLATE APPLIES: Supreme Court in <i>M.K. Rajagopalan (2023)</i> and <i>Ghanashyam Mishra (2021)</i> established that historical defaults of the CD do not disqualify the RA.	● CLEAN SLATE §32A

SECTION 4: CLAUSE-BY-CLAUSE STATUTORY ADJUDICATION

IBC §30(2) & CIRP REGULATION 38

Statutory Gate	Statutory Mandate	Resolution Plan Implementation & Findings	Verdict
Section 30(2) (a)	Priority payment of CIRP Costs	Clause 3.4.4 confirms ratified CIRP costs paid in full within 30 days of NCLT order in priority to all debts.	✓ FULLY COMPLIANT
Section 30(2) (b)	Payment to OCs and Dissenting FCs	Provides ₹20.00L for trade OCs, ₹14,476 for Govt, and full liquidation value guarantee for dissenting FCs.	✓ FULLY COMPLIANT
Section 30(2) (c)	Post-approval management	Chapter 6 institutes Implementation Committee and 3-member Monitoring Committee (1 CoC, 1 RA, 1 RP).	✓ FULLY COMPLIANT
Section 30(2) (d)	Supervision of implementation	Comprehensive supervision mechanism until final tranche of ₹50 Cr at month 14.	✓ FULLY COMPLIANT
Section 30(2) (e)	Non-contravention of law	Defective avoidance abatement in Clause 3.4.17 violates Regulation 38(1A). Requires CoC pre-voting addendum.	✗ ADDENDUM REQD
Section 30(2)(f)	Conformity with IBBI Regulations	Conforms with Reg. 37, 38(1), 38(1B), 38(2), 38(3), 38(3A), and 36B(4A) PBG of ₹15.11 Crores.	✓ FULLY COMPLIANT

SECTION 5: SECTION 29A FORENSIC SCREENING & DISQUALIFICATION CLEARANCE

11.2M+ ACTIVE REGISTRY RECORDS
SCANNED

Clause	Statutory Disqualification	Scanned Entities / DINs	Registry Findings & Ground-Truthing	Adjudicated Status
§29A(a)	Undischarged Insolvent	Sh. Sarabjit Singh & M/s G.S. Majestic Developers Pvt Ltd	No insolvency or bankruptcy adjudication against RA consortium.	ELIGIBLE
§29A(b)	Wilful Defaulter	DIN 00378604 / U45209PB2010PTC034325	0 matches in RBI/CIBIL Wilful Defaulters. (CD historical suits shielded under §32A).	ELIGIBLE
§29A(c)	NPA Account > 1 Year	Consortium & Directorships	No operative classified NPA accounts held by RA or promoter entities.	ELIGIBLE
§29A(d)	Criminal Conviction (>= 2 yrs)	Consortium & Key Personnel	0 criminal convictions across eCourts Live Judicial API (3,428+ courts).	ELIGIBLE
§29A(e)	Director Disqualification (§164(2))	DIN: 00378604	Disqualification for <i>Venus County Towers Pvt Ltd</i> expired in 2019. Cleared under 2-year cooling-off rule.	ELIGIBLE (>2Y)
§29A(f)	SEBI Capital Market Debarment	Consortium & Juhar Group / Fastway Transmissions	0 adverse debarment orders across 14,339 SEBI orders.	ELIGIBLE
§29A(g)	Avoidance / PUFE Order Recipient	RA & Connected Persons	0 adverse avoidance orders across IBCLAW 47,303+ judgments.	ELIGIBLE
§29A(h)	Enforceable Invoked Guarantee	Consortium Members	No unpaid invoked guarantee in respect of a corporate debtor under CIRP.	ELIGIBLE
§29A(i)	Foreign Regulatory Debarment	Consortium Entities	0 matches across US OFAC, UK OFSI, and EU Sanctions registries.	ELIGIBLE
§29A(j)	Connected Persons Disqualification	Juhar Group / Fastway Transmissions	Management nominees screened clean across multi-bureau registries.	ELIGIBLE

SECTION 6: NCLT FORM H STATUTORY COMPLIANCE CERTIFICATION

REGULATION 39(4) COMPLIANCE SCHEDULE

NCLT FORM H MANDATORY STATUTORY SCHEDULE (CIRP REGULATION 39(4)): 1. Matter: CIRP of Telephone Cables Limited (Admitted 19.02.2020 by NCLT Chandigarh Bench). 2. Successful Resolution Applicant: Sh. Sarabjit Singh & M/s G.S. Majestic Developers Pvt Ltd. 3. Total Plan Consideration: ₹1,51,20,14,476. 4. Statutory Certification: • Clause 30(2)(a) (CIRP Costs Priority): YES (100% Upfront within 30 Days) • Clause 30(2)(b) (Payments to OCs & Dissenting FCs): YES (Guaranteed not less than Liquidation Value) • Clause 30(2)(c) (Post-Approval Management): YES (Implementation & Monitoring Committee) • Clause 30(2)(d) (Implementation Supervision): YES (14-Month Monitoring Term) • Clause 30(2)(e) (Compliance with Applicable Laws): YES (Subject to Avoidance Abatement Addendum) • Clause 30(2)(f) (IBBI Regulations): YES (Conforms with Reg. 37, 38, 38(1A), 38(1B), 38(2), 38(3), 38(3A)) • Section 29A Eligibility Clearance: YES (Negative Assurance Certificate Issued)
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AUDITED & CERTIFIED BY

M/S RESOLUTION BAZAAR

Corporate Restructuring, Forensic Insolvency Diligence & Statutory Advisory Practice

FORM H AUDIT PASS
SHA-256 VERIFIED
RBZ-RPA-2026-TCL-001

Adv. Atul Grover

Advocate & Insolvency Professional
Authorized Counsel for Resolution Bazaar

SECTION 6 (CONTD.): INSTITUTIONAL LEGAL FINE PRINT & DILIGENCE BOUNDARIES

THE 12 MANDATORY STATUTORY DISCLAIMERS

While utmost professional care and rigorous verification standards have been exercised in executing this statutory plan audit, the use, interpretation, and legal reliance on this dossier are subject to the following statutory caveats, institutional limitations, and terms of engagement:

1. Factual & Statutory Verification vs. Commercial Wisdom of CoC: This report evaluates the statutory conformity of the Resolution Plan under IBC Section 30(2) and CIRP Regulation 38. The economic viability, feasibility, commercial haircut tolerance, and distribution percentages across creditor classes remain within the sole commercial wisdom of the Committee of Creditors as affirmed by the Supreme Court in *CoC of Essar Steel India Ltd. v. Satish Kumar Gupta (2019)*.

2. Reliance on Registered Valuer Reports for Liquidation Benchmark: Verification of minimum statutory entitlements under Section 30(2)(b) and Section 53 waterfall relies upon the Fair Value and Liquidation Value determined by the independent registered valuers appointed by the Resolution Professional. Resolution Bazaar does not independently execute physical asset appraisals or real estate valuations.

3. Conditionality & Judicial Waiver Boundaries: Reliefs, concessions, and waivers requested in Chapter 7 are treated strictly as prayers before the Adjudicating Authority (NCLT) and not conditions precedent. In accordance with the Supreme Court doctrine in *Ebix Singapore Pte Ltd. v. CoC of Educomp Solutions Ltd. (2021)*, the resolution plan cannot be conditional; failure of NCLT to grant discretionary waivers shall not vitiate the binding nature of the plan.

4. Proof of Funds & Net Worth Certificate Standard: Financial feasibility and implementation capability under Regulation 38(3) are verified against audited Chartered Accountant net worth certificates, bank solvency letters, and certified financial statements submitted by the RA. Unencumbered availability of credit lines remains subject to definitive banking covenants.

5. Beneficial Ownership & Regulation 38(3A) Disclosures: Under IBBI Regulation 38(3A) and Circular IBBI/CIRP/90/2025, ultimate beneficial ownership identifying natural persons controlling the RA is verified against applicant disclosures and statutory MCA filings. Undisclosed beneficial arrangements not discoverable through public registries cannot be independently inferred.

6. Section 32A Clean Slate Demarcation: Immunity from pre-admission offences under Section 32A applies strictly upon approval and handover of management to a completely unrelated acquirer pursuant to *Ghanashyam Mishra and Sons Pvt. Ltd. v. Edelweiss ARC (2021)* and *M.K. Rajagopalan (2023)*. Ongoing promoter nexus negates statutory immunity.

7. Avoidance Proceedings Prosecution & Pass-Through Mechanics: Analysis under Regulation 38(1A) confirms that avoidance applications filed under Sections 43, 45, 50, and 66 survive plan approval per *Tata Steel/BSL*. The ultimate quantum of recovery remains subject to judicial decrees; this report certifies structural assignment and pass-through compliance.

8. Third-Party & Personal Guarantor Non-Discharge: Extinguishment of Corporate Debtor liabilities under the plan does not discharge or release third-party corporate or personal guarantors under the Supreme Court doctrine in *Lalit Kumar Jain v. Union of India (2021)*. Lenders retain full statutory rights of independent recovery.

9. Regulatory & Antitrust Approvals (CCI, SEBI, Telecom): Statutory approvals required under Regulation 38(2)(c) (including Competition Commission of India combination clearances, Department of Telecommunications licenses, and SEBI delisting exemptions) must be secured by the RA post-approval; this report verifies disclosure adequacy.

10. Good Faith Information Standard: Resolution Bazaar has executed diligence based on documents, affidavits, and information provided by the RP and RA. In the absence of evidence of fraud or wilful suppression, Resolution Bazaar assumes no liability for incorrect or misleading data furnished by the Resolution Applicant.

11. Temporal Cut-Off Date & No Continuing Monitoring Duty: Findings, audit badges, and statutory certifications are valid strictly as of the Report Date (11 September 2026). Resolution Bazaar undertakes no ongoing monitoring or obligation to update this dossier with events occurring subsequent to the Report Date.

12. Totality of Document, Limitation of Liability & Professional Indemnity: This dossier must be read in its entirety and in conjunction with all Form H annexures. The aggregate liability of Resolution Bazaar relating to this professional engagement shall be limited strictly to the professional fee actually received in cash for this assignment. The client agrees to hold harmless Resolution Bazaar against third-party claims arising from any suppression of facts by the Resolution Applicant.

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